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BUSINESS LAW I
(BMGT 380)

7/9/2024

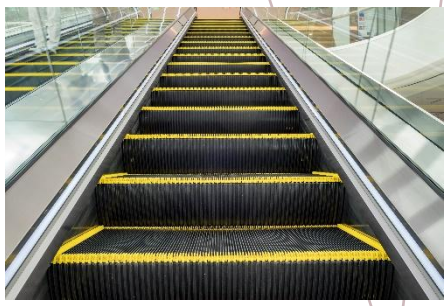
PROJECT 1: POTENTIAL NEGLIGENCE RISKS OR LIABILITIES WITH CLEAN



Background Information:

- Viral Clean (Clean) is a cleaning company incorporated in Maryland and in all Mid-Atlantic states working with TLG.
- Clean would like solutions for negligence risks and liabilities related to potential accidents occurring in their public business space to employees and/or customers.
- It's headquartered in commercial space in a local shopping center.
- The shopping center is busy and heavily trafficked with shoppers.
- It's a public space with private business offices, public reception area, conference meeting area.
- It has space for potential and existing clients to meet to discuss cleaning jobs, buy cleaning products, and complete contracts for cleaning services.

Figure 1: This represents Clean's business location.



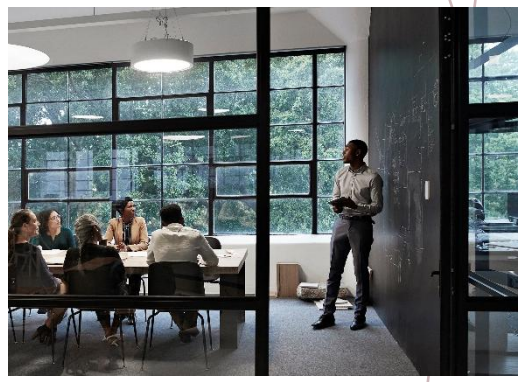


Figure 2: This represents Clean's business rooms

Negligence

- The concept of negligence within the context of tort law is crucial to determine and analyze Clean's scenarios.
- Negligence: the failure to exercise the care that a reasonably prudent person would exercise in similar circumstances.
- Example: A person filing case against Clean, Clean breaks warranties, or Negligence liabilities Clean has.
- We will analyze tort rights, obligations, liabilities, and remedies in the business environment, and based on our findings, we will recommend appropriate actions for Clean to take to minimize potential negligence risks and liabilities
- We will research these potential negligence risks/liabilities regarding Clean's scenarios in the next side with the layout.



Figure 3: This represents what we will discuss such as risks, liabilities, and laws for Clean's business.

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- Defining Risk and Liabilities:
  - Defining Product Liability, Warranties, Negligence, Strict Libability, and Policies/prcedures
- Part I. Risks and Liabilities
  - A. Negligence and Defense for Risk Situation 1
  - B. Negligence and Defense for Risk Situation 2
  - Both explain two different specific situations that could create negligence risks/liabilities for Clean in its public facility
- Defining Policies and Procedures:
  - Defining Policies and Procedures
- Part II. Policies and Procedures
  - Policy/Procedure for Negligence Risk Situation 1
  - Policy/Procedure for Negligence Risk Situation 2
  - Both policy/procedure is developed and explained so that Clean can implement them to prevent or minimize negligence/risk liability for each situation in Part I.
- Key Lessons after this Presentation:
  - Comprehending Risks, Liabilities, Negligence, Policies, and Procedures for two situations
  - Clean may use this plan to refine their policies and procedures to prevent or minimize their liabilities

PART I. RISKS AND LIABILITIES



Figure 4: This represents the list of laws relating to risks and liabilities.

This will go over the product liabilities and defining the laws before breaking down for two different scenarios.

Product Liability:

- This is when a product fails and results in loss or injury.
- This is due to a defect in design, and it results from intended use

Types of Liabilities:

- Warranty (Contract Law):
- Negligence (Tort Law)
- Strict Liability (Tort Law)

GENERAL OVERVIEW OF WARRANTIES

Defining Warranties and its Purpose:

§2-313. Express Warranty:

- The seller can express warranties with selling goods, description of goods, model of goods, and regarding the limitations of creating an express warranty.

§2-314. Implied Warranty of Merchantability:

- When the seller of goods meets the standards and is suitable to be sold.
- The products must pass the standards of not being defective, efficient for cleaning, and have warning labels for any possible risks.

§2-315. Implied Warranty of Fitness for a Particular Purpose:

- The seller is knowledgeable of goods as the buyer relies on the seller's recommendation of a specific product for a customer's personal needs and the item's intended use.

§2-316. Exclusion or Modification of Warranties::

- It expands on the limitations by creating an express warranty, modifying both implied warranty of merchantability and warranty of fitness, and limitations to breaching the warranties.



Figure 4: This represents the list of laws relating to risks and liabilities.

GENERAL OVERVIEW OF NEGLIGENCE

Defining Negligence and its Purpose:

- The plaintiff must prove all four elements against defendant that he/she failed to behave with the level of care and if not proven, then the defendant prevails.
- The four elements are:
  - The defendant had a duty of care
  - The duty of care was breached
  - The breach resulted in and was connected to the plaintiff's injury (Proximate Causation of Injuries)
  - The plaintiff suffered actual damage or loss

Pure comparative negligence:

- The damages that a plaintiff may recover are reduced by the percentage of their own fault

Modified comparative negligence:

- the damages that a plaintiff may recover are reduced by the percentage of their own fault and barred completely if the plaintiff was 50% or 51% at fault (varies by state)

Contributory negligence:

- a plaintiff is barred completely from recovering damages if they were even 1% at fault



Figure 4: This represents the list of laws relating to risks and liabilities.

GENERAL OVERVIEW OF STRICT LIABILITY

Strict Liability (Tort Law):

- A defective product that the defendant is responsible and liable for as it caused injuries for the plaintiff.
- Or it is defined as the plaintiff does not need to prove fault, only that the injury occurred as a result of using the defective product.
- It is a consumer cause of action against a manufacturer and seller/distributor resulting from a defective product.

It must meet these elements:

- The product is in defective condition or dangerous to the consumer when sold.
- The defendant is normally engaged in the business of selling/distributing the product.
- The plaintiff incurs physical harm to self or property from the product.
- The defective condition must be the proximate cause of the injury or damage.
- The goods must not have been substantially changed from the time the product was sold to the time the injury was sustained.
- Even if the defendant uses all possible care to avoid the injury.
- This also has some limitations about what situations that is not applicable with this law



Figure 4: This represents the list of laws relating to risks and liabilities.

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Situation 1:

- Clean (commercial cleaning) efficiently serves clients through the cleaning services from the EPI products.
- These products are of high quality to be efficient and effective when doing the cleaning services and on different types of surfaces.
- The cleaning supplies or products can be dangerous to the public if not managed properly, harms surfaces, and is a defective product, and if it spills onto electrical systems.
- Employees must receive rigorous training on how to use and dispose of them when showcasing it to the public or selling it.

Potential Negligence Liability:

- Defective products lead to ineffective cleaning products for the cleaning services resulting in Clean being held liable
- High quality chemical products not handled or manufactured properly can damage surfaces resulting in Clean being held liable
- Giving and selling a defective product through a recommendation to a consumer could result in harming the consumers when they buy and use the products. This results in Clean being held liable.
- This scenario would make Clean liable for Implied Warranty of Fitness for a Particular Purpose, Implied Warranty of Merchantability, Product liability, and Negligence.

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Analysis:

- **Duty of Care**: Clean has a duty to ensure safe cleaning services for its clients.
- This includes using safe and effective products.
- **Breach of Duty**: Outdated or defective cleaning products could breach this duty.
- Clean must maintain high-quality products to avoid risks.
- **Causation**: If the cleaning products are defective, they may directly cause harm.
- For example, improper handling could damage surfaces or harm users.
- **Damages**: Potential damages include property damage, injuries, or loss of life.

- **Defense**: Clean can argue that they conduct regular inspections. Promptly addressing any issues with the cleaning products can be a defense.

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Situation 2:

- Some of the cleaning supplies on-site as its headquarters are located in a shopping center and are stored.
- Leakage, natural disaster, inadequate containers, improper handling of moving item containers on the floor and in Clean’s business building can lead to the buildup of hazardous cleaning chemicals in the mall, endangering the public's health and putting Clean at risk.
- Clean’s public reception area has a slippery tile floor. Customers and employees frequently walk through this area.

Potential Negligence Liability:

- Customers and employees having injuries or damaging surfaces if they walk over the chemicals and spread it to other parts of the mall
- Employees improperly handling the equipment to prevent any leackage dmanges to employess, business, or consumers when shipping the items around.
- High quality chemical products not handled or manufactured properly can damage surfaces, floors, and cause slippery floors for injuries
- This scenario would make Clean liable for Implied Warranty of Fitness for a Particular Purpose, Implied Warranty of Merchantability, Product liability, and Negligence related to injuries which he has to compensate for his workers and consumers.

Clean Slippery Floor: Duty and Breach

Analysis:

- **Duty of Care:** Clean owes a duty of care to maintain safe premises for visitors and employees. This includes ensuring that the floor is not hazardous.
- **Breach of Duty:** Failure to address the slippery floor constitutes a breach of this duty. Clean breaches this duty by failing to address the slippery tile floor. Neglecting to take action constitutes a breach.
- **Causation:** Slippery floor directly causes accidents. Individuals may slip and fall due to its condition.
- **Damages:** Injuries sustained by individuals due to falls. Thes are potential damages and injuries sustained. Clean could be held liable for these injuries.

- **Defense**: Clean can argue that they regularly inspect and maintain the floor, and the accident was unforeseeable.

PART II. POLICIES AND PROCEDURES



Figure 4: This represents the list of laws relating to risks and liabilities.

- This will go over the policies and procedures related to each scenarios and how Clean should deal with these situations.

- It will discuss all the solutions and what to implement to prevent or minimize negligence/risk liability for each situation in Part I.

Contract law:

- cleaner-employee contracts and employer-client contracts
- terms and conditions for creating a contract between Clean and its cleaning clients.
- The contract terms and conditions will ensure Cleans' clients' expectations for the services and maintain a good working relationship.
- Some solutions are scope of services and duties, bonding for employees and clients, and performance evaluations, disputes, and claims. Other solutions are access and security, quality assurance and satisfaction guarantee, and termination and cancellation
- These help prevent future losses and costomer filing lawsuits.



Figure 4: This represents the list of laws relating to risks and liabilities.

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Due to the first scenario, these are the measures Clean should take:

- Product Handling and Storage: Properly store and manage cleaning supplies to prevent leakage or spills. Using adequate containers and ensure they are securely sealed. Regularly inspect storage areas for any signs of damage or defects.
- Employee Training and Safety Protocols: Train employees rigorously on the safe handling, use, and disposal of cleaning products. Provide clear guidelines on how to handle hazardous chemicals. Regularly reinforce safety protocols through training sessions.
- Quality Assurance and Inspection: Conduct regular quality checks on the cleaning products. Ensure that high-quality chemical products are used. Regularly inspect surfaces to identify any damage caused by the products.
- Public Area Maintenance: Address the slippery tile floor in the public reception area promptly. Implement measures to prevent slips and falls, such as using slip-resistant mats or coatings. Regularly clean and maintain the floor to prevent hazards.
- Risk Communication: Clearly label hazardous products and provide safety instructions. Educate clients and the public about the risks associated with certain cleaning supplies. Display warning signs in relevant areas.
- Documentation and Records: Maintain records of product inspections, employee training, and safety measures. Document any incidents or near-misses related to cleaning products. Use this information to improve safety practices.

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Due to the first scenario, these are the measures Clean should take:

- Proper Storage Containers: Use durable and appropriate containers for the chemicals to prevent leakage.
- Maintenance and Inspection: Establish a regular schedule to check for potential leaks or damage to containers.
- Employee Training: Train employees on proper handling and moving procedures of chemical containers to avoid accidents.
- Secondary Containment Systems: Install systems in storage areas to contain spills should they occur.
- Non-Slip Measures: Place non-slip mats in the public reception area and anywhere else where spills might create a slip hazard.
- Emergency Response Plan: Develop a plan for dealing with chemical spills, including evacuation routes and communication strategies.
- Product Labeling: Ensure all cleaning products are clearly labeled with handling instructions and hazard information.
- Overall, these steps help be a safer environment and handle chemical management properly for customers, employees, and property.

How does Clean approach and address this hazards:

- Clean’s approach in addressing these scenarios regarding the potential hazards associated with chemical management are quite intriguing.
- By implementing robust storage and handling protocols, ensuring thorough employee training, and maintaining vigilant quality assurance, Clean significantly reduces the risk of negligence liability.
- The introduction of non-slip measures and a comprehensive emergency response plan further exemplifies Clean’s commitment to safety and adherence to warranties of fitness and merchantability.
- These strategic measures should help and support the well-being of customers and employees but also fortify Clean’s reputation as a responsible and reliable entity within the community.

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Thank you for allowing me to present this project and plants. Feel free to utilize this to benefit Clean’s business.

Resources are in the Speakers notes for all of these slides.